

MG2005

International Business

Summer 2022 Examination · Paper 1 · University College Cork

Module	MG2005 — International Business
Session	Summer 2022
Paper structure	Part A: answer any 4 of 6 short questions (10 marks each) · Part B: answer any 3 of 5 questions (20 marks each), based on Netflix's international strategy
Total available	100 marks (40 + 60, from questions answered)
Duration	1.5 hours

FULL COVERAGE

Every question on this paper is answered in full below, since candidates self-select which four Part A and which three Part B questions to attempt. Unlike the Summer 2023 (PRG) paper, Part B here names a real, well-documented company — Netflix — so both parts are complete.

Marks covered in this document

All 11 questions, 100 of 100

PART A · SHORT QUESTIONS · ANSWER ANY 4 OF 6 · 10 MARKS EACH

Question 1

10 marks

QUESTION AS SET

1. “The fundamental flaw of Agency Theory is that it ignores the roots of the competitive advantage of the large international business.” Discuss the above statement (max 200 words).

FULL MODEL ANSWER

This statement is largely fair, but worth qualifying. Agency theory is fundamentally a **governance theory**: it explains how to align the incentives of managers (agents) with shareholders (principals) under information asymmetry, through monitoring, incentive contracts, and board oversight. It says nothing about *where* competitive advantage actually comes from — that question belongs to strategy theories such as the resource-based view and Prahalad and Hamel’s core-competence thesis, which locate advantage in a firm’s accumulated capabilities, technologies, and organisational learning. On that narrow reading, the statement is correct: agency theory is silent on the sources of competitive advantage because that was never its object.

The qualification is that agency *problems* can indirectly erode the very competencies that build advantage: managers focused on short-term metrics to satisfy incentive contracts may under-invest in R&D, employee training, or long-horizon capability-building — the actual roots of competitive advantage. So while agency theory does not explain competitive advantage, poor agency-theoretic governance can damage it. The “flaw” is one of theoretical scope, not internal inconsistency.

Mark Allocation — Question 1

Tier	Marks	Descriptor
Full Credit	9–10	Correctly identifies agency theory as a governance (not strategy) theory, explains why it does not address the sources of competitive advantage, AND identifies the indirect link (agency problems undermining investment in capability-building).
Good	7–8	Correct core distinction made (governance theory vs. strategy theory) without the indirect-link nuance.
Partial	4–6	General agreement/disagreement without clearly distinguishing governance theory from strategy/resource-based theory.
Minimal	0–3	Unsupported assertion with no theoretical grounding.

Question 1

Total: 10 marks

Question 2

10 marks

QUESTION AS SET

2. Based on the theory of comparative advantage and assuming that labour is the only variable input in the table below, why should China and the US trade (5 marks) and who are the potential winners and losers from this trade (5 marks)? (Max 200 words)

Labor Cost (hours of production/unit)	Solar Panels	Automobiles
China	5	10
United States	20	20

FULL MODEL ANSWER

Country	OC of 1 solar panel	OC of 1 automobile
China	$5 \div 10 = 0.5$ autos	$10 \div 5 = 2.0$ solar panels
US	$20 \div 20 = 1.0$ autos	$20 \div 20 = 1.0$ solar panels

China's opportunity cost of a solar panel (0.5) is lower than the US's (1.0) — **China holds comparative advantage in solar panels**. The US's opportunity cost of an automobile (1.0) is lower than China's (2.0) — **the US holds comparative advantage in automobiles**. China uses fewer labour hours per unit of both goods (absolute advantage in everything), yet both countries still gain from specialising by relative cost.

Winners: consumers in both countries (lower prices, wider variety); China's solar-panel industry and the US automobile industry (efficient, comparative-advantaged sectors gain export markets and scale). **Losers:** China's domestic automobile producers and workers, and the US solar-panel industry and its workers — the import-competing sectors in each country face displacement and adjustment costs even as their country gains in aggregate, a classic distributional consequence of trade specialisation.

Mark Allocation — Question 2

Tier	Marks	Descriptor
Full Credit	9–10	(5 marks) Correct opportunity-cost calculation and comparative-advantage assignment, noting the absolute-advantage nuance. (5 marks) Correctly identifies winners AND losers with sound distributional reasoning (aggregate gain vs. import-competing sector loss).
Good	7–8	Both halves correct in substance but the distributional/winners-losers discussion is thinner.
Partial	4–6	One half correct, the other weak or missing.
Minimal	0–3	Neither half correctly reasoned.

Question 2

Total: 10 marks

Question 3

10 marks

QUESTION AS SET

3. Using Vernon's (1966) theory, explain why production of the Personal Computer was initially driven by domestic consumption in developed economies, and ended up being produced and exported by developing economies (max 200 words).

FULL MODEL ANSWER

Vernon's **product life cycle** theory tracks a product through three stages, each shifting where it is produced. In the *new product* stage, the PC was invented and first produced in a developed economy (the US) because early-stage products need proximity to sophisticated lead users, flexible engineering talent, and rapid design iteration in response to uncertain, evolving demand — conditions best met close to where the innovation happened, not by minimising production cost.

In the *maturing product* stage, as the PC's design standardised and demand grew, production expanded to other developed economies and exports increased to serve rising foreign demand, with competition shifting somewhat toward price.

In the *standardised product* stage, the production process itself became fully codified — components and assembly no longer required proximity to original innovators — and price competition intensified. At this point, labour cost became the decisive factor, and production shifted to lower-cost developing economies (Taiwan, China, and elsewhere in Asia), which then exported PCs back to the very developed economies that originally invented them — the classic Vernon reversal from net exporter to net importer as a product matures.

CITED SOURCE

- Vernon, R. (1966). International Investment and International Trade in the Product Cycle. *Quarterly Journal of Economics*, 80(2), 190-207.

Mark Allocation — Question 3

Tier	Marks	Descriptor
Full Credit	9–10	Correctly names and applies all three PLC stages (new/maturing/standardised) to the PC industry, explaining the shift in location logic (innovation proximity → demand-led exports → cost-driven relocation) and the export reversal.
Good	7–8	Correct overall PLC application with two of the three stages clearly explained.
Partial	4–6	General reference to the product cycle without clearly explaining the location-shift mechanism at each stage.
Minimal	0–3	No coherent application of Vernon's theory.

Question 3

Total: 10 marks

Question 4

10 marks

QUESTION AS SET

4. Based on Gereffi et al (2005), which of the following options best describes the governance of the global value chain in bicycle production? Briefly justify your choice (100 words max).

1. Integrated where large Multinational Enterprises specialize in the production of entire bikes
2. Relational-based where individual component producers with low power supply lead firms
3. Market-based where highly specialized and competitive component producers compete
4. A U-shaped smile curve where component producers capture a low level of value added

FULL MODEL ANSWER

Correct answer: C

Gereffi, Humphrey and Sturgeon (2005) use bicycles as their example of governance shifting **from hierarchy to market-based coordination**: 1890s vertically-integrated production fragmented into specialist component makers (e.g. Shimano in drive-trains) trading through well-defined, low-transaction-cost interfaces at arm's length, not under a dominant lead firm. This matches (C), and rules out (A) (fragmented, not integrated), (B) (component producers aren't low-power captives), and (D) (the smile curve describes value distribution, not a governance type).

CITED SOURCE

- Gereffi, G., Humphrey, J., & Sturgeon, T. (2005). The Governance of Global Value Chains. *Review of International Political Economy*, 12(1), 78-104.

Mark Allocation — Question 4

Tier	Marks	Descriptor
Full Credit	9–10	Correct letter (C) with justification explicitly referencing the bicycle industry's shift from vertically-integrated to specialist, arm's-length market coordination.
Good	7–8	Correct letter with a general market-governance justification, without the historical hierarchy-to-market detail.
Partial	4–6	Correct letter with a vague justification, or incorrect letter showing partial understanding of Gereffi's governance typology.
Minimal	0–3	Incorrect letter with no coherent justification.

Question 4

Total: 10 marks

Question 5**10 marks****QUESTION AS SET**

5. Write a short note outlining the assumptions, implications, and drawbacks of **one** of the following (200 words max):

1. Stephen Hymer's theory of the Multinational Enterprise
2. Johansson and Vahlne's (2009) Network Internationalisation Model
3. John Dunning's OLI paradigm

Students answer only ONE of the three sub-options below. All three are answered in full here, since candidates self-select.

FULL MODEL ANSWER

(a) Hymer's theory of the Multinational Enterprise. *Assumptions:* firms undertake FDI (rather than portfolio investment) because they possess firm-specific ownership advantages — proprietary technology, management skill, scale economies — sufficient to offset the inherent “liability of foreignness” of operating abroad; Hymer also argued FDI is partly about extending market power and removing competition, not simply chasing interest-rate differentials as neoclassical capital-flow theory assumed. *Implications:* explains why multinationals tend to be large, oligopolistic firms with strong proprietary assets, and why FDI concentrates in industries with high entry barriers. *Drawbacks:* the theory explains *why* a firm can compete abroad but not *where* to locate or *how* to enter (export, licence, or FDI) — gaps later filled by internalisation theory and Dunning's OLI framework, which built directly on Hymer's ownership-advantage insight.

(b) Johanson & Vahlne's Network Model (2009). *Assumptions:* firms internationalise incrementally through experiential learning and network relationships rather than one-shot rational decisions; the key barrier is “liability of outsidership” from lacking network position. *Implications:* explains gradual, staged expansion and why psychically close markets can still be hard to enter without local ties. *Drawbacks:* weak on born-global/digital firms; network position is hard to measure.

(c) Dunning's OLI paradigm. *Assumptions:* FDI occurs when a firm holds Ownership, Location, and Internalisation advantages simultaneously. *Implications:* widely used for entry-mode and FDI-location decisions. *Drawbacks:* static and checklist-like; doesn't explain the internationalisation process over time.

CITED SOURCES

- Hymer, S. (1976). *The International Operations of National Firms: A Study of Direct Foreign Investment*. MIT Press.
- Johanson, J., & Vahlne, J-E. (2009). The Uppsala Internationalization Process Model Revisited. *JIBS*, 40, 1411-1431.

Mark Allocation — Question 5

Tier	Marks	Descriptor
Full Credit	9–10	For the chosen framework: correctly states assumptions, at least one accurate implication, and at least one genuine drawback.
Good	7–8	Assumptions and implications correctly covered, drawbacks thin or generic.
Partial	4–6	General description only, without separating assumptions/implications/drawbacks.
Minimal	0–3	No coherent description of any of the three frameworks.
Question 5		Total: 10 marks

Question 6**10 marks****QUESTION AS SET**

6. Briefly discuss two corporate governance issues raised by the investment in the family-owned Italian firm Pirelli by the Chinese state-owned company ChemChina. (Max 200 words)

FULL MODEL ANSWER

1. Separation of economic ownership from managerial control. When Pirelli returned to public markets in 2017 following the 2015 ChemChina acquisition, the shareholder structure gave ChemChina (via its subsidiary chain) the largest economic stake, while a shareholders' agreement kept CEO and board-nomination rights concentrated with the Italian Tronchetti Provera/Camfin group. This decoupling of capital contribution from control rights is a classic corporate-governance concern: it protects minority (Italian) management influence disproportionate to equity held, raising questions about accountability and whose interests actually get represented in strategic decisions.

2. National-security and technology-transfer concerns tied to state ownership. Because ChemChina is wholly state-owned (ultimately controlled by the Chinese government) and Pirelli holds sensitive proprietary technology and patents, the deal raised concerns about a foreign state gaining influence over a strategically significant Western industrial asset. This is a governance issue distinct from ordinary shareholder-manager agency problems: it pits ordinary commercial ownership rights against host-country sovereignty and national-security oversight, prompting Italian government scrutiny of the arrangement under its foreign-investment screening ("Golden Power") regime.

CHECKNOTE *Facts on the ChemChina-Pirelli deal and the Italian government's subsequent Golden Power interventions are drawn from public reporting (LegalClarity, BBC, Lexology) rather than the course pack, and are presented at the level of general, well-documented facts rather than precise dates for every regulatory step.*

CITED SOURCES

- LegalClarity (2026). Who Owns Pirelli Tires? Chinese Stake and Italian Rules.
- BBC News (2023). Pirelli: Italy Blocks Chinese Control of Tyre Giant.

Mark Allocation — Question 6

Tier	Marks	Descriptor
Full Credit	9–10	Two distinct, accurate governance issues identified (e.g. ownership/control separation AND state-ownership/national-security concern) with clear reasoning for each, within 200 words.
Good	7–8	Two governance issues identified but one is underdeveloped or generic.
Partial	4–6	Only one clear governance issue identified, or discussion is largely descriptive rather than analytical.
Minimal	0–3	No coherent governance issue identified.

Question 6

Total: 10 marks

PART B · ANSWER ANY 3 OF 5 · 20 MARKS EACH · BASED ON NETFLIX'S INTERNATIONAL STRATEGY

Part B, Question 1

20 marks

QUESTION AS SET

1. What business is Netflix in (i.e., how does it add value)? (Max 200 words)

FULL MODEL ANSWER

Netflix is in the business of aggregating, producing, and algorithmically curating filmed entertainment, delivered direct-to-consumer via subscription streaming. Its value-add rests on four pillars. First, **content**: a vast licensed library combined with growing investment in owned original productions, reducing dependence on rival studios that increasingly compete as their own streaming platforms. Second, **personalisation**: a proprietary recommendation algorithm that matches content to individual viewer taste from vast behavioural data, driving engagement and retention — a genuine, hard-to-replicate core competence. Third, **platform/technology**: global streaming infrastructure (including its own Open Connect content-delivery network) enabling reliable, low-latency delivery across widely varying connectivity environments, including bandwidth- and price-sensitive emerging markets. Fourth, **direct consumer relationship**: by bypassing traditional broadcast and cable intermediaries, Netflix captures the full subscription relationship and recurring revenue itself, rather than sharing it with a distributor.

Together, these mean Netflix is best understood not simply as a “content company” but as a data-driven media-technology platform whose advantage lies as much in curation and delivery as in the underlying content itself.

Mark Allocation — Part B, Question 1

Tier	Marks	Descriptor
Full Credit	18–20	Identifies content, personalisation/algorithm, platform/technology, and direct-consumer-relationship as distinct value-adding elements, with a clear synthesis of how they combine into Netflix's business model.
Good	14–17	At least three of the four elements identified and explained.
Partial	8–13	Describes Netflix as simply a content/streaming provider without identifying the specific mechanisms of value creation (algorithm, platform, direct relationship).
Minimal	0–7	No coherent account of how Netflix adds value.

Part B, Question 1

Total: 20 marks

Part B, Question 2

20 marks

QUESTION AS SET

2. Using the Generic International Strategy Matrix, identify Netflix's International Strategy. Briefly justify your choice (Max 200 words).

FULL MODEL ANSWER

Transnational strategy (with a global-strategy starting point)

In the Bartlett & Ghoshal integration-responsiveness matrix, Netflix today sits closest to a **transnational strategy**: it maintains high global integration — a single global technology platform, recommendation algorithm, brand, and centralised content-investment decision-making — while increasingly pursuing high local responsiveness through local-language original content investment, market-specific pricing tiers, and local distribution partnerships (e.g. bundling with telecom providers).

This positioning has evolved. At its January 2016 simultaneous launch in roughly 130 countries, Netflix operated much closer to a pure **global strategy** — a largely standardised product and catalogue replicated worldwide, prioritising integration and scale efficiency with minimal local adaptation. Over the following years, sustained investment in local original content (India, South Korea, and elsewhere) and localised pricing shifted the strategy toward the transnational quadrant, deliberately trading some global uniformity for market-specific relevance where competitive pressure and local demand made that worthwhile.

Mark Allocation — Part B, Question 2

Tier	Marks	Descriptor
Full Credit	18–20	Correctly identifies the transnational positioning with justification covering both global-integration and local-responsiveness elements, AND notes the evolution from an earlier, more global-strategy launch approach.
Good	14–17	Correct transnational classification with both integration/responsiveness elements justified, without the evolution-over-time nuance.
Partial	8–13	Names a strategy type from the matrix without a clear, evidenced justification tied to Netflix's actual practices.
Minimal	0–7	No coherent use of the integration-responsiveness framework.

Part B, Question 2

Total: 20 marks

Part B, Question 3**20 marks****QUESTION AS SET**

3. There are a variety of entry modes available to Netflix in entering the Indian market. List three of these and explain which one you would recommend using a transaction cost logic (Max 300 words).

FULL MODEL ANSWER**Three entry modes:**

(1) Wholly-owned direct-to-consumer digital entry — operating the global streaming platform directly, with no local equity partner, delivering the service cross-border as a digital “export.” **(2) Equity joint venture** with an established local telecom or media company (e.g. a JV-style partnership with a major Indian telecom/media group), sharing capital, control, and local market knowledge. **(3) Acquisition** of an existing India-based streaming platform, buying local content relationships, subscriber base, and regulatory familiarity outright.

Recommendation: wholly-owned direct digital entry, supplemented by non-equity contractual distribution alliances. Transaction cost economics (Williamson) predicts that firms internalise (choose hierarchy over market contracts) when the assets at stake are highly firm-specific and costly to protect through arm’s-length agreements. Netflix’s core assets — its recommendation algorithm, global content-licensing relationships, and brand — are exactly this kind of asset: sharing meaningful control over them via an equity JV would raise serious monitoring and appropriation-risk costs, since a local partner could not be perfectly prevented from free-riding on or diluting them.

Acquisition carries its own transaction costs: integration risk, the difficulty of accurately valuing a target, and the loss of platform uniformity that underpins Netflix’s global cost efficiency. By contrast, the local complementary assets Netflix actually needs in India — billing rails, telecom bundling, payment-gateway access — are relatively low-asset-specificity, easily monitored inputs that can be governed efficiently through simple contractual alliances (as Netflix has done in practice with telecom partners such as Airtel and Jio) without the governance costs of deeper equity entanglement. Transaction cost logic therefore favours internalising the high-specificity core platform while contracting out the low-specificity local distribution needs.

Mark Allocation — Part B, Question 3

Tier	Marks	Descriptor
Full Credit	18–20	Lists three distinct, plausible entry modes; recommends one with explicit transaction cost reasoning (asset specificity, monitoring/appropriation costs) correctly applied to explain why the chosen mode dominates the alternatives.
Good	14–17	Three entry modes listed with a reasoned recommendation, but transaction cost logic is only partially or implicitly applied.
Partial	8–13	Entry modes listed with a recommendation given, but with little or no transaction cost reasoning.
Minimal	0–7	Fewer than three entry modes, or no coherent recommendation.
Part B, Question 3		Total: 20 marks

Part B, Question 4**20 marks****QUESTION AS SET**

4. Critically evaluate the extent to which Netflix's international strategy resolves the tension between global integration and local responsiveness. (Max 300 words)

FULL MODEL ANSWER

Netflix's transnational aspiration has genuine evidence of success. Sustained local content investment has produced original productions that resonate locally and travel globally — the clearest case being the South Korean production *Squid Game*, sourced through local-market investment and becoming Netflix's biggest global hit, and India-specific originals such as *Delhi Crime* (International Emmy winner) and *Sacred Games*, which built local relevance while also reaching diaspora and international audiences. This bidirectional local-to-global content flow is a real, measurable instance of resolving the integration-responsiveness tension rather than merely gesturing at it.

The resolution is nonetheless partial. In India specifically, Netflix has historically lagged local incumbents such as Disney+ Hotstar and JioCinema on price and depth of regional-language content — India is a highly price-sensitive, mobile-first market, and Netflix's introduction of cheaper mobile-only pricing tiers came later than its localisation of content, suggesting the centrally-set, globally-integrated pricing defaults were slow to adapt to local purchasing power. As of 2019, popular titles in several non-English markets, including India, were still reported to be roughly 90% English-language content, indicating the localisation push, while real, was still incomplete years after entry.

Overall: Netflix's strategy is a genuine, evidenced attempt at transnational resolution — not "global with token localisation" — but the pace and depth of local responsiveness has structurally lagged the centrally-controlled elements (platform, algorithm, and until recently, pricing), particularly in markets like India where specialised local competitors compete hard on both price and content depth.

CHECKNOTE *The Squid Game, Delhi Crime, and 90%-English-content figures are drawn from public reporting (GetBlend, MarkHub24) rather than from official Netflix disclosures, which do not break down content investment or catalogue composition by country.*

CITED SOURCES

- GetBlend (2024). Netflix's 9-Step Localization Strategy for International Streaming Success.
- MarkHub24 (2026). Netflix India's Localization Strategy: Regional Storytelling as a Market Entry Tool.

Mark Allocation — Part B, Question 4

Tier	Marks	Descriptor
Full Credit	18–20	Provides evidence of both successful resolution (specific, accurate examples of local-to-global content success) AND genuine limits (accurate evidence of lagging local responsiveness, e.g. pricing or catalogue depth), reaching a balanced, evidenced overall judgement.
Good	14–17	Evidence given on one side (success or limits) with the other side asserted rather than evidenced.
Partial	8–13	General discussion of the integration-responsiveness tension without concrete, accurate Netflix-specific evidence.
Minimal	0–7	No coherent critical evaluation.
Part B, Question 4		Total: 20 marks

Part B, Question 5

20 marks

QUESTION AS SET

5. Discuss two ways that Netflix could reduce the political and economic risks associated with its international strategy. (Max 200 words)

FULL MODEL ANSWER

1. Reducing political/regulatory risk through proactive co-regulation and local investment. In India, streaming platforms operate under the IT Rules 2021's three-tier framework: platform self-regulation (a grievance officer), an industry self-regulatory body (e.g. the Digital Publisher Content Grievances Council, which Netflix belongs to), and government oversight. Active, good-faith participation in this self-regulatory tier — rather than resisting it — reduces the risk of the government escalating to blunter, less predictable direct intervention. Pairing this with continued investment in local production (jobs, local industry partnerships) also builds political goodwill, reducing the perception of Netflix as a purely extractive foreign platform.

2. Reducing economic risk through geographic diversification and local-currency pricing. Spreading subscriber revenue across many markets diversifies country-specific economic risk, so a downturn or currency depreciation in any single market has limited effect on global results. Combining this with local-currency, tiered pricing (including lower-cost mobile-only plans, as introduced in India) reduces demand sensitivity and churn risk when local purchasing power weakens.

CHECKNOTE The IT Rules 2021 three-tier regulatory structure and Netflix's DPCGC membership are drawn from public legal-industry sources (Lexology, Bhatt & Joshi Associates), not from the course pack.

CITED SOURCES

- Lexology (2024). OTT Streaming in India — Need for 'Over-the-Top' Regulation of the Industry?
- Bhatt & Joshi Associates (2024). Regulation of Over-the-Top (OTT) Platforms — IT Rules 2021.

Mark Allocation — Part B, Question 5

Tier	Marks	Descriptor
Full Credit	18–20	Two distinct, accurate risk-mitigation strategies identified (one political/regulatory, one economic), each with a specific mechanism explained rather than asserted.
Good	14–17	Two risk-mitigation strategies identified, but one is generic or lightly explained.
Partial	8–13	Only one clear, well-reasoned risk-mitigation strategy identified.
Minimal	0–7	No coherent risk-mitigation strategy identified.

Part B, Question 5

Total: 20 marks